

Notes: Birru, Gokkaya, Liu, and Stulz (RFS, 2024)

Are Analyst “Top Picks” Informative?

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1 Big picture

- **Question.** Do analyst “top pick” designations contain valuable information, or are they just marketing devices and conflict-driven analyst behavior?
- **Setting.** After the Global Analyst Research Settlement, many brokers moved from a five-tier recommendation system to a coarser three-tier system. The paper argues that top picks emerged to restore granularity among buy-rated stocks.
- **Definition.** A top pick is an analyst’s best investment idea, generally among buy-recommended stocks, usually valid for the upcoming calendar year.
- **Novel data.** The authors construct a hand-collected sample of 3,563 top picks from 113 brokerage houses over 1999–2016 using Thomson Reuters Investext and Eikon.
- **Main return result.** A calendar-time portfolio of top picks generates abnormal performance of roughly 17.6% per year. Monthly top-pick abnormal returns exceed buy recommendations and alternative analyst strategies.
- **Timing result.** Figure 1 shows cumulative abnormal returns keep rising after top-pick announcements, without a reversal over the roughly one-year investment horizon.
- **Comparison result.** Top picks dominate ordinary buy recommendations, pre-Settlement strong buys, and seven alternative analyst-based investment strategies.
- **Conflict result.** Although investment-banking clients are more likely to be selected as top picks, top picks associated with investment banking do not underperform.
- **Investor reaction.** Both institutional and retail investors buy more after top-pick announcements than after buy recommendations.
- **Investor sophistication.** Institutional trading imbalance is positively related to subsequent top-pick investment value, while retail trading imbalance is not.
- **Economic takeaway.** Top picks are not simply redundant buy recommendations. They are a post-Settlement mechanism for transmitting analysts’ strongest positive information to investors.

2 Data and measurement

2.1 Institutional background: why top picks matter

- Before the Global Settlement, analysts commonly used five-tier recommendation systems, with both buy and strong-buy categories.
- After the 2002 regulatory changes, many brokers moved to a three-tier system with only one positive recommendation category.
- This coarser system reduced the ability to distinguish between good and best investment ideas.
- A top-pick designation fills that gap by identifying an analyst’s highest-conviction buy-rated stock.

Interpretation: The regulatory background is essential. Top picks are not just another recommendation category; they are a new information channel created after recommendation ratings became less granular.

2.2 Top-pick sample

- The sample covers 1999–2016.
- The authors identify 3,563 top picks issued by 113 brokerage houses.

- I/B/E/S does not separately code top picks, so the authors use full-text analyst reports in Thomson Reuters Investtext and Thomson Reuters Eikon.
- Top picks are typically valid for one calendar year and often expire on December 31.
- Only about 19% of top-pick announcements coincide with a recommendation initiation, upgrade, or reiteration; most are stand-alone analyst outputs.

Interpretation: Because top picks are not directly available in standard recommendation data, the main data contribution is to create a separate top-pick database.

2.3 Matched comparison groups

The paper compares top picks to several benchmarks:

- buy recommendations in the same industry and same year;
- buy recommendations by the same analyst and same year;
- pre-Settlement strong buys and buy recommendations;
- seven alternative analyst investment strategies based on upgrades, target prices, consensus target prices, recommendation distributions, independent brokers, and analyst historical performance.

Interpretation: These comparisons ask whether the top-pick label has incremental value beyond a regular buy rating and beyond existing analyst-signal strategies.

2.4 Return measures

- The main event-time return is the cumulative DGTW characteristic-adjusted abnormal return around the top-pick announcement.
- The main portfolio tests use calendar-time monthly portfolios.
- Abnormal returns are measured using DGTW returns and factor-model alphas:
 - Fama-French 3-factor alpha;
 - Carhart 4-factor alpha;
 - Pastor-Stambaugh liquidity factor, 5-factor alpha;
 - short-term reversal factor, 6-factor alpha;
 - long-term reversal factor, 7-factor alpha.

Interpretation: The paper does not rely on one return adjustment. The top-pick result survives multiple risk-adjustment methods.

2.5 Stock, analyst, and broker variables

The control variables include size, book-to-market, institutional ownership, turnover, analyst coverage, idiosyncratic volatility, forecast dispersion, relative EPS optimism, past returns, target-price implied returns, analyst experience, portfolio size, portfolio complexity, All-Star status, top-10 broker status, investment-bank affiliation, broker industry specialization, and drop coverage.

Interpretation: These controls address the concern that top picks are simply larger, more visible, more liquid, or more analyst-covered stocks.

2.6 Institutional and retail trading measures

Institutional trading is based on Ancerno data from 2000–2014. Retail trading is inferred from TAQ after 2005 using subpenny price-improvement rules.

For investor group $g \in \{Institutional, Retail\}$, the trading imbalance around an event window $[0, +h]$ is conceptually

$$TI_{i,[0,+h]}^g = \frac{BuyShares_{i,[0,+h]}^g - SellShares_{i,[0,+h]}^g}{SharesOutstanding_i}, \quad (1)$$

then standardized by its pre-event standard deviation.

Interpretation: The trading tests ask two questions: whether investors react to top picks, and whether their reactions identify the top picks with greater future value.

3 Models and empirical specifications

3.1 Top-pick characteristics: logistic model

The first empirical specification asks which stocks become top picks:

$$\Pr(TopPick_{i,a,b,t} = 1) = \Lambda(\alpha + \beta' X_{i,a,b,t} + FE + \varepsilon_{i,a,b,t}), \quad (2)$$

where X includes stock, analyst, and broker characteristics.

Interpretation: A positive coefficient means the characteristic makes a buy-recommended stock more likely to receive the stronger top-pick designation.

3.2 Event-time abnormal returns

The paper plots cumulative DGTW abnormal returns:

$$CAR_{i,[\tau_1,\tau_2]} = \sum_{\tau=\tau_1}^{\tau_2} AR_{i,\tau}^{DGTW}, \quad (3)$$

from -5 to $+250$ trading days around the top-pick announcement.

Interpretation: If top picks are informative about fundamentals, abnormal returns should continue to rise after announcement without later reversal.

3.3 Calendar-time portfolio alphas

For portfolio p , the factor-regression form is

$$R_{p,t} - R_{f,t} = \alpha_p + \beta_p' F_t + u_{p,t}. \quad (4)$$

The coefficient α_p is the abnormal monthly return.

Interpretation: The calendar-time portfolio design measures whether investors can earn abnormal returns from following top picks over the stated investment horizon.

3.4 Panel return regressions

The main panel regressions estimate

$$AR_{i,t} = \alpha + \beta TopPick_{i,t} + \delta StrongBuy_{i,t} + \gamma' X_{i,t} + FE + \varepsilon_{i,t}. \quad (5)$$

Interpretation: The coefficient β measures the incremental investment value of top picks relative to buy recommendations after controlling for observable characteristics and fixed effects.

3.5 Conflict-of-interest and cross-sectional tests

To test whether strategic incentives affect top-pick performance, the paper estimates interactions such as

$$AR_{i,t} = \alpha + \beta TopPick_{i,t} + \theta (TopPick_{i,t} \times Conflict_{i,t}) + \gamma' X_{i,t} + FE + \varepsilon_{i,t}. \quad (6)$$

Interpretation: If conflicts dilute investment value, θ should be negative for investment-bank affiliation. The paper finds no evidence of such underperformance.

3.6 Investor trading response

The trading response specification is

$$TI_{i,[0,+1]}^g = \alpha + \beta TopPick_{i,t} + \delta StrongBuy_{i,t} + \gamma' X_{i,t} + FE + \varepsilon_{i,t}. \quad (7)$$

Interpretation: A positive β means investors buy more around top-pick announcements than around matched buy recommendations.

3.7 Investor discernment

The discernment test estimates

$$AR_{i,t} = \alpha + \beta TopPick_{i,t} + \delta TI_{i,[0,+h]}^g + \theta \left(TopPick_{i,t} \times TI_{i,[0,+h]}^g \right) + FE + \varepsilon_{i,t}. \quad (8)$$

Interpretation: A positive θ means the investors' trading response is stronger for the top picks that later perform better. This is the key difference between institutions and retail investors.

4 Identification and empirical design

4.1 Main identifying comparison

- The paper compares top picks to matched buy recommendations.
- Industry-year matching controls for contemporaneous industry conditions and broad recommendation trends.
- Analyst-year matching compares top picks to other buy recommendations issued by the same analyst in the same year.
- Calendar-time portfolios avoid relying only on short-run announcement returns.

Interpretation: The paper's strongest comparison is within analyst-year: the same analyst has multiple buy-rated stocks, but only one is the best idea.

4.2 What would undermine the interpretation?

- Top picks might merely be high-attention growth stocks.
- Top picks might be chosen to support investment-banking clients.
- Top picks might benefit from buying pressure rather than fundamentals.
- Top picks might be redundant with target-price optimism, earnings forecast optimism, or analyst reputation.

Interpretation: The paper addresses these concerns with controls, matched samples, alternative return windows, cost-of-delay tests, conflicts-of-interest interactions, and comparisons to alternative analyst strategies.

4.3 Why the results are credible but not a randomized experiment

- Analysts choose top picks; designation is not randomly assigned.
- The paper observes investor reaction and returns, but not all private analyst-client communications.
- The hand-collected data improve measurement but cannot eliminate all selection concerns.
- Still, the robustness of the abnormal returns across many comparisons makes the evidence difficult to explain as only selection or marketing.

Interpretation: The design supports the conclusion that top picks are informative, though the effect should be read as strong observational evidence rather than randomized causal assignment.

5 Tables and figures

5.1 Table 1: Sample statistics

Read:

- Panel A shows the post-Settlement shift toward three-tier rating systems: coverage by three-tier brokers rises sharply after 2002.
- Panel B shows top picks become common after the regulatory change, with hundreds of top picks per year after the mid-2000s.
- Panel C shows that 77.86% of top-pick announcements do not coincide with a stock recommendation announcement.
- Panel D shows announcements cluster around the turn of the year, especially January, February, and December.
- Panels E and F show top-pick analysts differ from other analysts and that top picks have higher announcement returns than matched buys.

Economic message: Top picks are a distinct analyst output, not simply a relabeled buy recommendation.

Table 1
Sample statistics

A. Distribution of 3-tier brokerage houses

Year	No. of brokers with 3-tier ratings	% of IBES brokers 3-tier ratings	% of IBES stocks covered by brokers 3-tier ratings	% buy rated stocks at brokers with 3-tier ratings
1999	104	35.99	13.42	75.10
2000	103	35.52	14.58	73.01
2001	79	31.60	14.60	68.06
2002	89	34.90	10.26	63.60
2003	195	61.13	59.68	50.47
2004	235	66.76	77.80	51.03
2005	237	67.14	74.44	52.58
2006	232	71.17	79.21	50.87
2007	222	72.79	83.48	54.83
2008	229	74.84	76.09	51.61
2009	238	73.68	79.57	52.12
2010	282	80.11	83.59	57.20
2011	250	78.37	76.96	58.05
2012	247	76.71	79.04	53.11
2013	228	73.55	78.70	53.04
2014	249	78.55	86.30	57.95
2015	259	81.45	88.81	54.93
2016	231	75.24	88.23	49.38

B. Distribution of top picks

Year	No. of top picks (N=3,563)	No. of brokers issuing top picks	% of top picks by brokers with 3-tier ratings	% of top picks by brokers switching from 5-tier to 3-tier ratings	% top picks of buy rated stocks at brokers with 3-tier ratings
1999	3	1	0.00	—	0.00
2000	5	3	0.00	—	0.01
2001	9	4	33.33	33.33	0.04
2002	29	10	72.41	76.19	0.03
2003	49	18	83.67	87.80	0.16
2004	128	32	93.75	100.00	0.35
2005	200	26	95.50	98.43	0.36
2006	193	29	88.08	95.88	0.45
2007	249	35	93.98	92.74	0.78
2008	196	30	94.90	91.40	1.86
2009	158	36	96.20	90.79	0.50
2010	240	43	98.75	86.92	0.69
2011	423	44	98.35	90.87	1.36
2012	376	44	96.54	90.91	1.71
2013	307	41	97.39	85.28	1.42
2014	330	53	97.88	81.42	1.43
2015	343	45	99.71	78.36	1.26
2016	325	47	98.46	71.25	1.81

C. % overlap between top pick and stock recommendation announcement

Top pick coincides with stock coverage initiations	Top pick coincides with recommendation upgrade	Top pick coincides with recommendation reiteration	Top pick does not coincide with any recommendation announcement
14.70	3.54	3.90	77.86

D. Distribution of top pick announcements across months (%)

Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
35.44	15.59	5.96	4.30	2.96	3.31	2.75	1.87	2.01	3.21	5.99	16.61

(Continued)

Table 1
Continued

E. Analyst and broker characteristics

	Top pick analysts	Other analysts	Difference	p-value
Firm experience	2.099	2.255	−0.156	.0006
General experience	6.472	7.343	−0.871	<.0001
Portfolio size	15.900	17.440	−1.540	<.0001
Portfolio complexity	2.613	2.760	−0.148	.0004
Broker ind specialization	0.159	0.091	0.068	<.0001
All-star	0.144	0.185	−0.041	<.0001
Average rec profitability	0.011	0.010	0.000	.9458
Average PMAFE	0.004	−0.065	0.070	<.0001
Top-10 broker	0.596	0.663	−0.067	<.0001
Investment bank	0.894	0.753	0.141	.0001

F. Top pick announcement returns

	Top pick	Analyst-year-matched buy recommendations	Difference	Industry-year-matched buy recommendations	Difference
% CAR [0, +1]	2.246*** (19.320)	1.867*** (25.630)	0.380*** (2.770)	1.780*** (102.460)	0.466** (3.970)

This table reports sample summary statistics over 1999–2016. Panel A presents summary statistics for the distribution of brokerage houses adopting 3-tier rating scales and transitioning from 5-tier to 3-tier rating scale.

(a) Panels A–D: broker rating systems, top-pick use, overlap, and timing.

(b) Panels E–F: analyst characteristics and announcement returns.

5.2 Table 2 and Figure 1: Characteristics and event-time returns

Read:

- Table 2 shows top picks are larger, more growth-like, have more institutional ownership, lower idiosyncratic volatility, lower forecast dispersion, higher EPS optimism, and higher target-price implied returns than matched buys.
- Investment-bank affiliation is positively related to the probability of top-pick designation, which motivates the conflict-of-interest tests.
- Figure 1 shows top-pick cumulative abnormal returns rise to roughly 11% over the next 250 trading days, while matched buy recommendations rise much less.
- The curve does not reverse, suggesting the return is not only temporary price pressure.

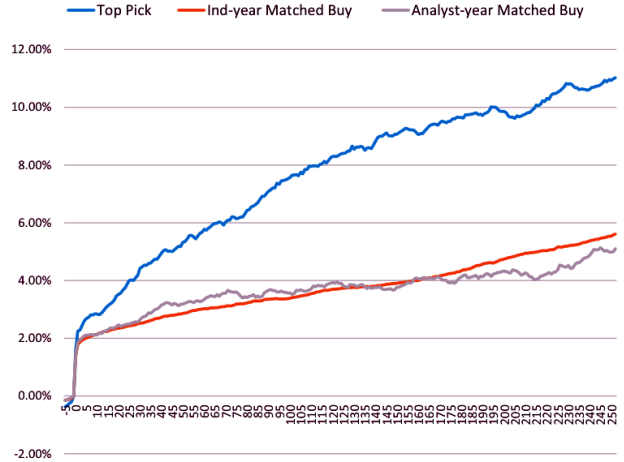
Economic message: Analysts appear to select salient, liquid, optimistic, and institutionally relevant stocks as top picks, and the selections subsequently outperform.

Table 2
Characteristics of top pick stocks

	Top picks vs. buy recommendations (industry-year matched) Model 1	Top picks vs. buy recommendations (analyst-year matched) Model 2	Top picks vs. buy recommendations (analyst-year matched) Model 3
<i>Size</i>	0.644*** (4.842)	0.638*** (2.750)	0.700*** (2.991)
<i>BM</i>	-45.890*** (-5.638)	-72.820*** (-4.185)	-72.280*** (-4.168)
<i>Institutional holding</i>	158.320*** (5.559)	238.740*** (4.974)	248.110*** (5.174)
<i>Turnover</i>	20.100*** (3.004)	24.210** (1.999)	22.060* (1.838)
<i>Analyst coverage</i>	0.229 (0.660)	1.390** (2.138)	1.300** (2.031)
<i>Idiosyncratic volatility</i>	-56.920*** (-5.832)	-47.860*** (-2.601)	-44.500** (-2.474)
<i>Dispersion</i>	-1043.600*** (-4.826)	-2613.410*** (-5.422)	-2079.310*** (-4.846)
<i>Relative EPS optimism</i>	14.830*** (8.239)	16.510** (2.262)	16.430** (2.266)
<i>Past 12-month return</i>	21.400*** (4.376)	34.470*** (3.221)	27.580*** (3.092)
<i>% target price implied return</i>	70.640*** (5.688)	175.220*** (6.393)	
<i>Investment bank affiliation</i>	70.580*** (5.748)	55.850** (2.477)	57.580** (2.535)
<i>Top pick broker (past)</i>	764.940*** (112.990)		
<i>Top pick analyst (past)</i>	1012.050*** (202.006)		
<i>Firm experience</i>	-1.670 (-0.732)		
<i>General experience</i>	-0.917 (-1.028)		
<i>Portfolio size</i>	0.280 (0.516)		
<i>Portfolio complexity</i>	-0.266 (-0.116)		
<i>Top-10 broker</i>	-7.900 (-1.102)		
<i>Broker ind. specialization</i>	-17.540 (-1.060)		
<i>All-star</i>	-3.540 (-0.446)		
<i>Average rec return</i>	-0.445 (-1.474)		
<i>Average PMAFE</i>	-6.020 (-0.721)		
<i>Target price rank-one</i>			135.840*** (6.040)
<i>Target price rank-two</i>			89.550*** (4.567)
<i>Target price rank-three</i>			103.860*** (6.024)
<i>Target price rank-four</i>			77.120*** (4.811)
<i>Target price rank-five</i>			57.540*** (3.729)
<i>Industry-year fixed effects</i>	Y	N	N
<i>Analyst-year fixed effects</i>	N	Y	Y
<i>R² (%)</i>	8.22	32.46	32.24
<i>N</i>	134,635	7,330	7,330

This table presents logistic regression results for characteristics of top picks versus all buy recommendation issued between 1999 and 2016 (a) in the same industry in the same year (i.e., industry-year matched) in

(a) Table 2: Characteristics of top-pick stocks.



(b) Figure 1: Long-run event-time returns.

5.3 Table 3: Calendar-time portfolios, top picks versus buy recommendations

Read:

- In Panel A, top picks earn a DGTW monthly return of 1.331%, compared with 0.514% for analyst-year matched buy recommendations; the difference is 0.816%.
- In Panel B, top picks also dominate industry-year matched buy recommendations; the DGTW difference is 0.899%.
- Panels C and D show top picks also dominate pre-tier-change strong-buy and buy recommendations.
- The advantage is robust across 3-, 4-, 5-, 6-, and 7-factor alphas.

Economic message: The top-pick label contains incremental investment value relative to ordinary buy signals and even relative to the finer pre-Settlement strong-buy category.

Table 3
Calendar-time portfolios: Top picks versus buy recommendations

A. Top picks vs. buy recommendations (analyst-year matched)

	Top picks	Buy recommendations	Difference
DGTW	1.331*** (6.065)	0.514*** (2.870)	0.816*** (3.250)
3-factor alpha	1.349*** (5.402)	0.400* (1.900)	0.948*** (3.770)
4-factor alpha	1.413*** (5.715)	0.473** (2.290)	0.939*** (3.730)
5-factor alpha	1.319*** (5.299)	0.395* (1.900)	0.924*** (3.640)
6-factor alpha	1.328*** (5.328)	0.364* (1.750)	0.964*** (3.800)
7-factor alpha	1.303*** (5.300)	0.347* (1.680)	0.955*** (3.770)

B. Top picks vs. buy recommendations (industry-year matched)

	Top picks	Buy recommendations	Difference
DGTW	1.331*** (6.065)	0.432*** (4.290)	0.899*** (4.170)
3-factor alpha	1.349*** (5.402)	0.178 (1.360)	1.171*** (5.290)
4-factor alpha	1.413*** (5.715)	0.283** (2.430)	1.130*** (5.130)
5-factor alpha	1.319*** (5.299)	0.216* (1.840)	1.103*** (4.970)
6-factor alpha	1.328*** (5.328)	0.123 (1.080)	1.205*** (5.470)
7-factor alpha	1.303*** (5.300)	0.112 (1.000)	1.191*** (5.430)

(Continued)

Table 3
(Continued)

C. Top picks vs. pre-tier change strong buy and buy recommendations (analyst matched)

	Top picks	Pre-tier change strong buy and buy recommendations	Difference from top picks	Pre-tier change strong buy recommendations	Difference from top pick
DGTW	1.345*** (4.876)	0.239 (1.370)	1.106*** (3.500)	0.381 (1.640)	0.963*** (2.710)
3-factor alpha	1.444*** (4.836)	−0.041 (−0.190)	1.484*** (4.450)	0.166 (0.620)	1.277*** (3.370)
4-factor alpha	1.497*** (5.036)	0.078 (0.390)	1.419*** (4.280)	0.285 (1.090)	1.212*** (3.210)
5-factor alpha	1.448*** (4.837)	0.034 (0.170)	1.414*** (4.240)	0.258 (0.980)	1.190*** (3.130)
6-factor alpha	1.462*** (4.878)	−0.060 (−0.300)	1.523*** (4.580)	0.160 (0.610)	1.302*** (3.430)
7-factor alpha	1.442*** (4.840)	−0.043 (−0.220)	1.485*** (4.540)	0.186 (0.720)	1.256*** (3.380)

D. Top picks vs. pre-tier change strong buy and buy recommendations (industry matched)

	Top picks	Pre-tier change strong buy and buy recommendations	Difference from top picks	Pre-tier change strong buy recommendations	Difference from top pick
DGTW	1.331*** (6.065)	0.426*** (3.890)	0.905*** (3.820)	0.500*** (3.400)	0.831*** (3.260)
3-factor alpha	1.349*** (5.402)	0.152 (1.150)	1.197*** (4.770)	0.254 (1.450)	1.095*** (3.980)
4-factor alpha	1.413*** (5.715)	0.236* (1.900)	1.177*** (4.690)	0.332* (1.950)	1.081*** (3.930)
5-factor alpha	1.319*** (5.299)	0.160 (1.280)	1.159*** (4.580)	0.240 (1.410)	1.078*** (3.890)
6-factor alpha	1.328*** (5.328)	0.048 (0.400)	1.279*** (5.100)	0.099 (0.600)	1.229*** (4.490)
7-factor alpha	1.303*** (5.300)	0.037 (0.310)	1.266*** (5.070)	0.087 (0.530)	1.216*** (4.450)

This table presents equal-weighted calendar-time monthly portfolio abnormal returns of top picks versus all buy recommendations (panel A) by the same analyst in the same year (i.e., analyst-year matched) in panel B.

(a) Panels A–B: Top picks versus matched buy recommendations.

(b) Panels C–D: Top picks versus pre-tier-change strong buys and buys.

5.4 Table 4 and Table 5: Trading delay and alternative analyst strategies

Read:

- Table 4 asks whether the top-pick strategy survives implementation delays of 5, 10, or 20 trading days.
- Even after excluding early post-announcement days, top picks continue to outperform matched buy recommendations.
- Table 5 compares top picks to seven alternative analyst investment strategies from the literature.
- Top picks outperform all seven strategies across DGTW and factor-alpha specifications.

Economic message: The investment value is not only an immediate announcement reaction and not merely a repackaging of other analyst signals.

Table 4**Calendar-time portfolios: Cost of investment delays***A. Top picks vs. buy recommendations (analyst-year matched)*

	Exclude +1, +5			Exclude +1, +10			Exclude +1, +20		
	Top pick	Buy recommendation	Difference	Top pick	Buy recommendation	Difference	Top pick	Buy recommendation	Difference
<i>DGTW</i>	1.058*** (4.761)	0.384** (0.030)	0.673*** (2.630)	0.845*** (4.166)	0.196* (1.950)	0.649*** (3.180)	0.775*** (3.914)	0.181* (1.790)	0.595*** (2.950)
<i>3-factor alpha</i>	1.092*** (4.333)	0.323 (1.486)	0.767*** (2.980)	0.896*** (3.861)	−0.050 (−0.380)	0.946*** (4.450)	0.830*** (3.622)	−0.071 (−0.530)	0.900*** (4.220)
<i>4-factor alpha</i>	1.152*** (4.612)	0.382* (1.778)	0.768*** (2.980)	0.940*** (4.073)	0.054 (0.460)	0.886*** (4.220)	0.868*** (3.803)	0.036 (0.300)	0.832*** (3.960)
<i>5-factor alpha</i>	1.055*** (4.196)	0.302 (1.395)	0.753*** (2.900)	0.886*** (3.811)	−0.013 (−0.110)	0.899*** (4.250)	0.825*** (3.591)	−0.032 (−0.270)	0.857*** (4.050)
<i>6-factor alpha</i>	1.066*** (4.236)	0.266 (1.229)	0.800*** (3.080)	0.936*** (4.030)	−0.106 (−0.920)	1.043*** (5.020)	0.892*** (3.891)	−0.121 (−1.040)	1.013*** (4.900)
<i>7-factor alpha</i>	1.040*** (4.185)	0.242 (1.131)	0.796*** (3.070)	0.914*** (3.969)	−0.120 (−1.050)	1.034*** (4.990)	0.873*** (3.830)	−0.135 (−1.180)	1.008*** (4.880)

B. Top picks vs. buy recommendations (industry-year matched)

	Exclude +1, +5			Exclude +1, +10			Exclude +1, +20		
	Top pick	Buy recommendation	Difference	Top pick	Buy recommendation	Difference	Top pick	Buy recommendation	Difference
<i>DGTW</i>	1.058*** (4.761)	0.225** (2.120)	0.823*** (3.770)	0.845*** (4.166)	0.319* (1.750)	0.525** (2.150)	0.775*** (3.914)	0.207 (1.100)	0.567** (2.310)
<i>3-factor alpha</i>	1.092*** (4.333)	−0.026 (−0.190)	1.103*** (4.920)	0.896*** (3.861)	0.214 (1.000)	0.681*** (2.760)	0.830*** (3.622)	0.078 (0.360)	0.750*** (3.000)
<i>4-factor alpha</i>	1.152*** (4.612)	0.082 (0.680)	1.059*** (4.760)	0.940*** (4.073)	0.283 (1.350)	0.656*** (2.660)	0.868*** (3.803)	0.147 (0.690)	0.719*** (2.880)
<i>5-factor alpha</i>	1.055*** (4.196)	0.007 (0.050)	1.032*** (4.600)	0.886*** (3.811)	0.201 (0.960)	0.684*** (2.750)	0.825*** (3.591)	0.066 (0.310)	0.758*** (3.020)
<i>6-factor alpha</i>	1.066*** (4.236)	−0.088 (−0.740)	1.136*** (5.100)	0.936*** (4.030)	0.174 (0.830)	0.762*** (3.070)	0.892*** (3.891)	0.037 (0.170)	0.854*** (3.420)
<i>7-factor alpha</i>	1.040*** (4.185)	−0.098 (−0.830)	1.122*** (5.060)	0.914*** (3.969)	0.154 (0.740)	0.758*** (3.060)	0.873*** (3.830)	0.017 (0.080)	0.855*** (3.420)

This table presents equal-weighted calendar time monthly portfolio abnormal returns of top picks versus all buy recommendations issued (a) by the same analyst in the same year (i.e., analyst-year matched) in panel A and (b) in the same industry in the same year (i.e., industry-year matched) in panel B, between 1999 and 2016. For the equal-weighted calendar-time

Figure 4: Table 4: Calendar-time portfolios and cost of investment delays.

Table 5
Calendar-time portfolios: Top picks versus alternative analyst investment strategies

A. Alternative analyst portfolios

	Analyst Investment Strategy 1	Analyst Investment Strategy 2	Analyst Investment Strategy 3	Analyst Investment Strategy 4	Analyst Investment Strategy 5	Analyst Investment Strategy 6	Analyst Investment Strategy 7
<i>DGTW</i>	0.353*** (3.920)	0.755*** (7.590)	0.545*** (2.950)	0.690*** (3.530)	0.415*** (4.290)	0.419*** (4.980)	0.498*** (4.870)
<i>3-Factor alpha</i>	0.243* (1.670)	0.647*** (4.090)	0.054 (0.240)	0.292 (1.260)	0.481*** (3.150)	0.201 (1.560)	0.342** (2.160)
<i>4-Factor alpha</i>	0.327** (2.380)	0.740*** (4.940)	0.206 (1.000)	0.447** (2.070)	0.549*** (3.710)	0.303*** (2.640)	0.418*** (2.740)
<i>5-Factor alpha</i>	0.277** (2.010)	0.694*** (4.600)	0.152 (0.730)	0.391* (1.800)	0.519*** (3.480)	0.238** (2.060)	0.345** (2.251)
<i>6-Factor alpha</i>	0.259* (1.870)	0.689*** (4.560)	0.107 (0.510)	0.343 (1.580)	0.520*** (3.490)	0.151 (1.340)	0.345** (2.246)
<i>7-Factor alpha</i>	0.255* (1.850)	0.685*** (4.540)	0.110 (0.530)	0.349 (1.610)	0.515*** (3.460)	0.140 (1.260)	0.346** (2.260)

B. Difference: Top picks vs. alternative analyst portfolios

	Top Pick – Analyst Investment Strategy 1	Top Pick – Analyst Investment Strategy 2	Top Pick – Analyst Investment Strategy 3	Top Pick – Analyst Investment Strategy 4	Top Pick – Analyst Investment Strategy 5	Top Pick – Analyst Investment Strategy 6	Top Pick – Analyst Investment Strategy 7
<i>DGTW</i>	0.977*** (4.120)	0.575** (2.390)	0.785*** (2.740)	0.641*** (2.180)	0.916*** (3.820)	0.911*** (3.880)	0.832*** (3.440)
<i>3-Factor alpha</i>	1.106*** (4.630)	0.702*** (2.910)	1.295*** (4.660)	1.057*** (3.730)	0.868*** (3.550)	1.149*** (5.220)	1.007*** (4.140)
<i>4-Factor alpha</i>	1.086*** (4.550)	0.673*** (2.790)	1.207*** (4.410)	0.967*** (3.470)	0.864*** (3.540)	1.110*** (5.070)	0.995*** (4.090)
<i>5-Factor alpha</i>	1.041*** (4.330)	0.625** (2.570)	1.167*** (4.240)	0.928*** (3.310)	0.800*** (3.250)	1.081*** (4.900)	0.974*** (3.970)
<i>6-Factor alpha</i>	1.069*** (4.440)	0.639*** (2.630)	1.221*** (4.440)	0.985*** (3.510)	0.807*** (3.280)	1.177*** (5.370)	0.983*** (4.000)
<i>7-Factor alpha</i>	1.048*** (4.400)	0.618** (2.570)	1.193*** (4.400)	0.954*** (3.460)	0.788*** (3.220)	1.163*** (5.340)	0.957*** (3.960)

This table presents equal-weighted calendar-time monthly portfolio abnormal returns of top picks versus

Figure 5: Table 5: Top picks versus alternative analyst investment strategies.

5.5 Table 6 and Table 7: Panel regressions, conflicts, and cross-sectional predictors

Read:

- Table 6 shows the top-pick indicator remains positive in panel regressions controlling for firm, analyst, broker, and fixed-effect structure.
- The strong-buy coefficient is smaller and less consistently robust than the top-pick coefficient.
- Table 7 shows investment-banking affiliation does not produce worse top-pick performance.
- Top picks with greater EPS optimism, target-price implied returns, and analyst experience tend to have greater investment value.

Economic message: Conflicts of interest may affect which stocks are selected, but the evidence does not show that conflicted top picks underperform. The more important cross-sectional signal is analyst conviction and reputation.

Table 6
Investment value of top picks: Panel regressions

	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8
<i>Top pick</i>	0.644*** (4.385)	0.838*** (6.218)	0.593*** (4.064)	0.803*** (5.965)	1.341*** (3.812)	0.858*** (4.999)	1.313*** (3.718)	0.739*** (4.286)
<i>Strong buy</i>		0.198*** (5.077)		0.068* (1.732)	0.448*** (3.612)	0.308*** (7.770)	0.090 (0.722)	0.067* (1.685)
<i>Size</i>	-0.135*** (-4.429)	-0.125*** (-11.223)	-0.093*** (-3.080)	-0.088*** (-7.901)	-0.243*** (-3.770)	-0.228*** (-11.461)	-0.221*** (-3.415)	-0.215*** (-10.745)
<i>BM</i>	0.323*** (4.068)	0.364*** (10.856)	0.335*** (4.232)	0.353*** (10.502)	0.099 (0.566)	0.300*** (5.282)	0.051 (0.288)	0.305*** (5.332)
<i>Institutional holding</i>	-0.507* (-1.725)	-0.207* (-1.870)	-0.165 (-0.565)	-0.008 (-0.068)	2.004*** (3.916)	1.672*** (10.425)	1.893*** (3.680)	1.681*** (10.406)
<i>Turnover</i>	-0.113** (-2.126)	-0.262*** (-12.907)	-0.194*** (-3.652)	-0.309*** (-15.254)	-0.350*** (-3.494)	-0.388*** (-12.908)	-0.323*** (-3.203)	-0.385*** (-12.704)
<i>Dispersion</i>	0.037** (2.456)	-0.022*** (-3.405)	0.029* (1.906)	-0.026*** (-4.059)	0.001 (0.034)	0.000 (-1.560)	0.034 (1.169)	0.000 (-1.727)
<i>Past 12-month return</i>	-0.970*** (-14.210)	-0.456*** (-16.990)	-0.758*** (-11.152)	-0.391*** (-14.562)	-0.384*** (-3.299)	-0.349*** (-8.945)	-0.354*** (-3.027)	-0.315*** (-8.018)
<i>Analyst coverage</i>	-0.002 (-0.454)	-0.003** (-2.131)	0.002 (0.357)	-0.001 (-0.622)	0.013 (1.565)	0.005** (1.958)	0.014 (1.613)	0.006** (2.133)
<i>Firm experience</i>	0.009 (0.888)	0.017*** (3.982)	0.012 (1.262)	0.016*** (3.718)	0.020 (0.675)	0.053*** (4.378)	0.025 (0.838)	0.050*** (4.086)
<i>General experience</i>		-0.005* (-1.941)		-0.007** (-2.432)	0.366*** (3.471)	0.008 (0.995)	0.187* (1.759)	0.005 (0.599)
<i>Portfolio size</i>		0.002** (2.108)		0.001 (1.555)	-0.008 (-0.596)	-0.007*** (-4.067)	-0.001 (-0.056)	-0.007*** (-4.079)
<i>Portfolio complexity</i>		-0.005 (-0.934)		-0.001 (-0.124)	0.040 (0.710)	0.012 (1.390)	0.030 (0.533)	0.017* (1.911)
<i>Relative EPS optimism</i>	-0.373*** (-5.092)	-0.397*** (-13.575)	-0.301*** (-4.126)	-0.325*** (-11.084)	-0.264* (-1.955)	-0.441*** (-9.896)	-0.165 (-1.217)	-0.377*** (-8.388)
<i>All-star</i>		0.081* (1.948)		0.051 (1.237)	0.321 (1.288)	0.300*** (5.199)	0.338 (1.350)	0.282*** (4.861)
<i>Drop coverage</i>	-0.801***	-0.454***	-0.710***	-0.361***	-0.543***	-0.379***	-0.516**	-0.369***

Figure 6: Table 6, part 1: Panel regressions of investment value.

Table 6
(Continued)

<i>Top-10 broker</i>	-0.524* (-1.720)	-0.004 (-0.172)	-0.192 (-0.626)	-0.036 (-1.423)	-0.189 (-0.829)	-0.180*** (-4.008)	-0.215 (-0.938)	-0.230*** (-5.082)
<i>Investment bank affiliation</i>	0.394* (1.849)	-0.161 (-1.631)	0.410* (1.933)	-0.140 (-1.424)	1.413 (1.113)	-0.215 (-0.434)	1.655 (1.297)	-0.105 (-0.211)
<i>Broker ind. specialization</i>	0.302* (1.715)	0.146*** (4.388)	0.360** (2.053)	0.157*** (4.715)	-0.299 (-1.494)	-0.180*** (-3.155)	-0.283 (-1.405)	-0.165*** (-2.869)
<i>Year-month fixed effects</i>	Y	Y	Y	Y	Y	Y	Y	Y
<i>Industry-year fixed effects</i>	N	Y	N	Y	N	N	N	N
<i>Industry fixed effects</i>	Y	N	Y	N	N	Y	N	Y
<i>Analyst-year fixed effects</i>	Y	N	Y	N	N	N	N	N
<i>Analyst fixed effects</i>	Y	N	Y	N	Y	N	Y	N
<i>R² (%)</i>	0.21	0.10	0.20	0.09	0.11	0.04	0.11	0.04
<i>N</i>	5,677,086	24,621,743	5,536,592	23,991,011	1,490,725	12,672,615	1,452,851	12,336,798

This table presents panel regressions of the investment value of top picks versus all buy recommendations issued (a) by the same analyst in the same year (i.e., analyst-year matched) in Models 1 and 3 and (b) in the same industry in the same year (i.e., industry-year matched) in Models 2 and 4 between 1999 and 2016. Models 5 through 8 compare the abnormal returns of top picks to buy recommendations issued by the same analyst (in the same industry) during the pre-tier change period. For top picks, we skip a trading day between the announcement of top pick and inclusion into the portfolio to ensure the information is publicly available to all market participants. Model 3/7 (4/8) repeats the analyses in Model 1/5 (2/6) after excluding stock returns between day $t+1$ and $t+5$. Top picks are then updated on a daily basis when a new top pick is announced or current top pick designation expires, is reiterated, or removed before its expiration. For buy recommendations, we follow an analogous methodology with the exception of expiration dates. The dependent variable is the characteristic-adjusted abnormal stock return (DGTW). Regressions are run daily but are converted into monthly coefficients for ease of interpretation. Information on top picks is obtained from *Thomson Reuters Investtext* and *Thomson Reuters Eikon*. Analyst and brokerage house information is retrieved from I/B/E/S. All-Star information is from *Institutional Investor Magazine*. Financial statement information is obtained from CRSP/Compustat. Refer to [Internet Appendix Table A1](#) for detailed variable descriptions. t -statistics are in parentheses with heteroscedastic-consistent standard errors clustered at the time level. Industry-year and analyst-year fixed effects are included. * $p < .1$; ** $p < .05$; *** $p < .01$.

Figure 7: Table 6, part 2: Panel regressions continued.

Table 7

Investment value of top picks: Investment banking affiliation, forecast optimism, and analyst and broker characteristics

	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8
<i>Top pick</i>	0.652*** (4.300)	0.850*** (6.100)	0.690*** (4.773)	0.776*** (5.868)	0.756*** (5.260)	0.487** (2.438)	0.479** (2.278)	0.734*** (2.664)
<i>Investment bank affiliation</i>	0.186 (1.570)	0.010 (0.200)						
<i>Top pick*Investment bank affiliation</i>	-0.120 (-0.200)	-0.179 (-0.330)						
<i>Relative EPS optimism</i>			-0.381*** (-13.082)					
<i>Top pick*Relative EPS optimism</i>			1.124*** (2.823)					
<i>Target price implied return (%)</i>				-0.086*** (-16.600)				
<i>Top pick*Target price implied return (%)</i>				0.194** (2.378)				
<i>All-star</i>					0.121* (1.780)			
<i>Top pick*All-star</i>					0.688* (1.670)			
<i>Analyst long general experience</i>						0.038 (0.932)		
<i>Top pick*Analyst long general experience</i>						0.644** (2.382)		
<i>Analyst long firm experience</i>							0.145*** (4.516)	
<i>Top pick*Analyst long firm experience</i>							0.600** (2.195)	
<i>Top-10 broker</i>								-0.014 (-0.557)
<i>Top pick*Top-10 broker</i>								0.136 (0.431)
Other controls	Y	Y	Y	Y	Y	Y	Y	Y
Year-month fixed effects	Y	Y	Y	Y	Y	Y	Y	Y
Industry-year fixed effects	N	N	N	N	Y	Y	Y	Y
Industry fixed effects	N	Y	Y	Y	N	N	N	N
Analyst-year fixed effects	Y	N	N	N	N	N	N	N
R^2 (%)	0.21	0.10	0.10	0.10	0.10	0.10	0.10	0.10
N	5,677,086	24,621,743	24,621,743	22,700,909	24,621,743	24,621,743	24,621,743	24,621,743

This table presents panel regressions of the investment value of top picks versus all buy recommendations issued (a) by the same analyst in the same year (i.e., analyst-year matched)

Figure 8: Table 7: Investment banking affiliation, forecast optimism, and analyst/broker characteristics.

5.6 Table 8 and Table 9: Investor trading response and investor discernment

Read:

- Table 8 shows institutional and retail investors both buy more after top-pick announcements than after matched buy recommendations.
- Institutional trading imbalance is higher by 8.73% in the industry-year comparison and 10.87% in the analyst-year comparison.
- Retail trading imbalance is even larger in magnitude: 28.42% in the industry-year comparison and 45.72% in the analyst-year comparison.
- Table 9 shows the interaction between top-pick status and institutional trade imbalance is positive and significant across event windows.
- The same retail interaction is insignificant, implying retail investors react but do not distinguish better from worse top picks.

Economic message: Both investor groups notice top picks. Institutions appear to sort among them; retail investors mostly respond to the designation itself.

Table 8
Institutional and retail investors' trading behavior of top picks

	<i>A. Institutional trading behavior</i>		<i>B. Retail trading behavior</i>	
	Top picks vs. buy recommendations (industry-year matched)	Top picks vs. buy recommendations (analyst-year matched)	Top picks vs. buy recommendations (industry-year matched)	Top picks vs. buy recommendations (analyst-year matched)
	Model 1	Model 2	Model 1	Model 2
<i>Top pick</i>	8.730** (2.379)	10.870** (2.274)	28.420*** (4.346)	45.720*** (7.458)
<i>Strong buy</i>	1.460 (1.506)		-1.490 (-1.192)	
<i>Size</i>	0.001 (0.028)	0.295*** (2.756)	0.121*** (3.691)	0.304** (2.123)
<i>BM</i>	2.890* (1.784)	10.820* (1.644)	0.059 (0.031)	-4.600 (-0.496)
<i>Institutional holding</i>	-18.510*** (-3.601)	-58.560** (-2.158)	-43.950*** (-6.741)	-26.680 (-1.151)
<i>Turnover</i>	0.787 (0.743)	6.770 (1.099)	11.340*** (7.611)	4.390 (0.637)
<i>Analyst coverage</i>	4.080 (0.866)	-22.260 (-0.281)	8.270 (0.643)	183.460* (1.782)
<i>Dispersion</i>	7.630*** (7.480)	3.590 (0.648)	1.860 (1.283)	-6.930 (-1.045)
<i>Past 12-month return</i>	0.093 (1.590)	0.036 (0.125)	-0.130* (-1.801)	-0.670* (-1.856)
<i>Idiosyncratic volatility</i>	4.230** (2.376)	19.520** (2.050)	20.510*** (8.691)	10.840 (1.078)
<i>Firm experience</i>	0.002 (0.013)	-1.410* (-1.706)	-0.289 (-1.319)	-1.460* (-1.650)
<i>General experience</i>	0.057 (0.551)		-0.031 (-0.226)	
<i>Portfolio size</i>	0.011 (1.000)		-0.069 (-0.941)	
<i>Portfolio complexity</i>	-0.150 (-0.911)		0.319 (1.005)	
<i>Relative EPS optimism</i>	-1.580 (-1.477)	4.720 (0.723)	2.110 (1.426)	12.010 (1.501)
<i>All-star</i>	2.770 (1.639)		7.100*** (2.934)	
<i>Drop coverage</i>	0.084 (0.061)	2.450 (0.194)	2.140 (1.189)	-16.880 (-1.068)
<i>Top-10 broker</i>	2.170** (2.215)	13.080 (0.953)	3.940*** (2.962)	19.730 (0.847)
<i>Investment bank affiliation</i>	-1.340 (-0.540)	-4.200 (-0.536)	3.880 (0.621)	-22.020 (-0.984)
<i>Broker ind. specialization</i>	2.290* (1.775)	35.810** (2.400)	-2.360 (-1.405)	-5.610 (-0.325)
<i>Industry-year fixed effects</i>	Y	N	Y	N
<i>Analyst-year fixed effects</i>	N	Y	N	Y
<i>R² (%)</i>	0.78	27.10	1.56	31.45
<i>N</i>	117,518	6,976	64,330	4,470

This table presents panel regressions of the interactions between institutional and retail trading imbalance over [0, +1] surrounding the announcement of a top pick relative to all buy recommendations either (a) issued in the same industry in the same year (i.e., industry-year matched) or (b) issued in the same industry by the same analyst in the same year (i.e., analyst-year matched). The dependent variable equals the total institutional (retail) trading imbalance over [0, +1] surrounding the announcement of a top pick or a stock recommendation and is calculated as the difference between the number of shares bought and sold by institutional (retail) investors over the [0, +1] event window surrounding the announcement date of analyst research divided by the number of shares outstanding for the same stock i at time t . Total institutional (retail) trading imbalance is then scaled

(a) Table 8: Institutional and retail trading behavior.

Table 9
Institutional and retail trading behavior of top picks and investment value of top picks

	<i>A. Investment value of top picks and institutional trading behavior</i>				<i>Industry-year-matched sample</i>			
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8
<i>Top pick</i>	0.341*** (3.343)	0.507*** (3.397)	0.536*** (3.299)	0.512*** (3.274)	0.307*** (5.476)	0.309*** (5.462)	0.306*** (5.455)	0.799*** (5.403)
<i>Institutional trade imbalance (0, +1)</i>	0.046*** (2.580)				0.037*** (4.874)			
<i>Top pick * Institutional trade imbalance (0, +1)</i>	0.253** (2.475)				0.206** (2.164)			
<i>Institutional trade imbalance (0, +2)</i>		0.118*** (7.086)				0.046*** (6.463)		
<i>Top pick * Institutional trade imbalance (0, +2)</i>		0.165* (1.740)				0.188** (2.157)		
<i>Institutional trade imbalance (0, +3)</i>			0.050*** (3.126)				0.035*** (5.173)	
<i>Top pick * Institutional trade imbalance (0, +3)</i>			0.228** (2.399)				0.174** (1.991)	
<i>Institutional trade imbalance (0, +4)</i>				0.051*** (3.376)				0.034*** (5.308)
<i>Top pick * Institutional trade imbalance (0, +4)</i>				0.212** (2.420)				0.176** (2.173)
<i>Other Controls</i>	Y	Y	Y	Y	Y	Y	Y	Y
<i>Analyst-year fixed effects</i>	Y	Y	Y	Y	N	N	N	N
<i>Industry fixed effects</i>	Y	Y	Y	Y	N	N	N	N
<i>Industry-year fixed effects</i>	N	N	N	N	Y	Y	Y	Y
<i>Year-month fixed effects</i>	Y	Y	Y	Y	Y	Y	Y	Y
<i>R² (%)</i>	0.20	0.21	0.20	0.20	0.09	0.09	0.09	0.09
<i>N</i>	4,821,626	4,821,626	4,821,626	4,821,626	21,011,284	21,011,284	21,011,284	21,011,284

(b) Table 9A: Institutional trading and investment value.

Table 9
(Continued)

B. Investment value of top picks and retail trading behavior

	Analyst-year-matched sample				Industry-year-matched sample			
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8
<i>Top pick</i>	0.559*** (3.732)	0.562*** (3.751)	0.564*** (3.766)	0.560*** (3.740)	0.772*** (5.887)	0.773*** (5.888)	0.775*** (5.909)	0.771*** (5.885)
<i>Retail trade imbalance (0, +1)</i>	0.001 (0.036)				0.015 (1.604)			
<i>Top pick*Retail trade imbalance (0, +1)</i>	0.061 (0.508)				0.037 (0.348)			
<i>Retail trade imbalance (0, +2)</i>		0.014 (0.694)				0.023** (2.461)		
<i>Top pick*Retail trade imbalance (0, +2)</i>		-0.013 (-0.112)				-0.001 (-0.008)		
<i>Retail trade imbalance (0, +3)</i>			0.023 (1.143)				0.017* (1.868)	
<i>Top pick*Retail trade imbalance (0, +3)</i>			-0.065 (-0.597)				-0.013 (-0.138)	
<i>Retail trade imbalance (0, +4)</i>				0.035* (1.794)				0.019** (2.192)
<i>Top pick*Retail trade imbalance (0, +4)</i>				0.016 (0.143)				0.108 (1.099)
Other controls	Y	Y	Y	Y	Y	Y	Y	Y
Analyst-year fixed effects	Y	Y	Y	Y	N	N	N	N
Industry fixed effects	Y	Y	Y	Y	N	N	N	N
Industry-year fixed effects	N	N	N	N	Y	Y	Y	Y
Year-month fixed effects	Y	Y	Y	Y	Y	Y	Y	Y
R^2 (%)	0.19	0.19	0.19	0.19	0.05	0.05	0.05	0.05
N	4,602,766	4,602,766	4,602,766	4,602,766	18,535,410	18,535,410	18,535,410	18,535,410

This table presents panel regressions of the investment value of top picks versus all buy recommendations issued (a) by the same analyst in the same year (i.e., analyst-year matched) in Models 1 through 4 and (b) in the same industry in the same year (i.e., industry-year matched) in Models 5 through 8. For calendar-time portfolios, we skip 5 trading days between the announcement of top pick or buy recommendation and inclusion into the portfolio ($t+6$). Top picks are then updated on a daily basis when a new top pick is announced or current top pick designation expires, is reiterated, or removed before its expiration. For buy recommendations, we follow an analogous methodology with the exception of expiration dates. The dependent variable is the characteristic-adjusted abnormal stock return (DGTW). Regressions are run daily but are converted into monthly coefficients for ease of interpretation. Total institutional (retail) trading imbalance is calculated as the difference between the number of shares bought and sold by institutional (retail) investors over the $[0, +1]$ $[0, +2]$ $[0, +3]$ $[0, +4]$ event window surrounding the announcement date of analyst research divided by the number of shares outstanding for the same stock i at time t . Institutional (retail) trading imbalances in this table are then scaled by

Figure 10: Table 9B: Retail trading and investment value.

6 Short summary

- The paper studies whether analyst top picks are informative after the Global Settlement and the switch to coarser three-tier recommendation systems.
- Top picks are hand-collected because standard I/B/E/S recommendation data do not identify them separately.
- The sample contains 3,563 top picks from 113 brokerage houses from 1999 to 2016.
- Top picks are usually stand-alone designations and are typically valid for the upcoming calendar year.
- Top picks become common after 2002 and are mostly issued by brokers that moved from five-tier to three-tier systems.
- Top-pick stocks tend to be large, growth-oriented, institutionally held, lower-dispersion, and associated with higher analyst optimism.
- Top picks have higher announcement returns than matched buy recommendations.
- Event-time returns keep rising for about one year, with no strong reversal.
- Calendar-time top-pick portfolios generate large abnormal monthly returns, around 1.3% under DGTW and factor-alpha specifications.
- Top picks outperform ordinary buy recommendations, pre-Settlement strong buys, and seven alternative analyst strategies.
- The result survives delays that exclude early post-announcement trading days.
- Investment-banking affiliation increases the likelihood of designation but does not reduce subsequent top-pick performance.
- EPS optimism, target-price optimism, analyst reputation, and analyst experience help explain which top picks perform better.
- Institutional and retail investors both trade more after top-pick announcements.
- Institutional trading identifies top picks with greater future value; retail trading does not.
- The main takeaway is that top picks restore useful positive-information granularity among buy-rated stocks in the post-Settlement period.

7 Conclusion

7.1 Core conclusion

Birru, Gokkaya, Liu, and Stulz show that analyst top picks are informative. They are not merely redundant buy recommendations or empty marketing labels. Investors who follow top picks earn economically large abnormal returns, and these returns are robust to matched buy-recommendation comparisons, factor adjustments, implementation delays, and alternative analyst strategies.

7.2 Economic intuition

After the Global Settlement, recommendation ratings became less granular. Long-only investors value positive analyst information most, so brokers had an incentive to create a new way to highlight the best buy-rated stocks. Top picks serve that role. The designation attracts investor attention, but the subsequent return patterns suggest that attention is attached to genuine information rather than only price pressure.

7.3 Takeaway

The paper's important message is that financial regulation can change how information is communicated. The post-Settlement three-tier rating system reduced recommendation granularity, but analysts and brokers recreated granularity through top picks. On average, this new designation benefits investors, especially institutions that can further distinguish high-value top picks from low-value ones.